



BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE, Pilani
Pilani Campus
AUGS/ AGSR Division

SECOND SEMESTER 2026-27
COURSE HANDOUT

Date: 01-08-2026

In addition to part I (General Handout for all courses appended to the Time table) this portion gives further specific details regarding the course.

Course No : **ECON F417/FIN F413**
Course Title : **RISK MANAGEMENT AND INSURANCE**
Instructor-in-Charge : **N V M RAO**
Instructor(s) : --
Tutorial/Practical Instructors : --

1 Course Description:

Introduction to risk; types of risk; risk measurement; risk management techniques; risk avoidance, loss control, loss financing, risk retention, risk transfer, internal risk reduction through diversification etc.; insurance business and operations; insurance pricing; insurance v/s hedging; life, health and income risk; property and liability risk – commercial and personal; social insurance; insurance regulation

2 Scope and Objective of the Course:

This course will examine the way in which business and society make an assessment of, control and transfer risk. The scope of this course is to provide a broad understanding of risk and insurance as a means to manage it. This forms the foundation to facilitate the students in their further studies on insurance. The course introduces the concept of risk and techniques of identifying, measuring and managing it. In this context, insurance as a risk management tool is discussed with references to its role, functions and basic principles as applicable to different classes of insurance.

The objectives of the course are to provide students with

- a comprehensive understanding for making risk management decisions to increase business value and individual welfare
- a complete understanding of risk transfer through pooling and key features of insurance market
- an understanding of the effects of and rationale for public policies that affect risk and its allocation
- Knowledge about insurance markets and important details of an insurance contract as a risk management tool.
- Assessing and evaluating insurance needs and implement effective solutions, involving and aligning the entire organization

3 Text Book:

George Rejda and Michael McNamara '*Principles of Risk Management and Insurance*' 14th edition, Pearson Education, 2022 (ISBN 9780134082578)

4 Reference Books:

- John Teale, Insurance and Risk Management, CCH Australia Ltd, 2013
- James Trieschmann, David Sommer, Robert Hoyt, Risk management and Insurance, Cengage Learning, 12 Edition, 2005
- Harrington scott E.& Niehaus Gregory "Risk Management and Insurance" Tata McGraw-Hill, Second edition.2004 (or latest edition)
- Scott E. Harrington & Gregory R. Niehaus, Risk Management and Insurance, McGraw Hill, 2nd edition.
- Vaughan E.J & T. Vaughan : "Fundamentals of Risk & Insurance" John Wiley & Sons (Asia) Ninth edition.2003
- Williams, Jr, M.L.Smith & Peter G. Young "Risk Management and Insurance" Mc Graw-Hill International, Eighth edition .1998
- Dr.Gupta P.K, Insurance and Risk Management, Himalaya Publishing House, latest edition.
- Against the Gods, The Remarkable Story of Risk, Bernstein, Peter L., New York, Wiley 1996
- Websites: www.irdaindia.org ; www.tac.org.in ; www.rims.org

5 The Learning Outcomes

By the end of the course, students should be able to:

- Understand the fundamentals of risk management and insurance, practices, the methodology in the identification, analysis and management of risks.
- Identify, interpret, and evaluate issues and implications associated with RMI in the global business environment.
- The basic principles of insurance, as one possible risk financing tool, is also expected to be understood.
- choose appropriate insurance policies related to – legal principles in insurance; life and health insurance; property and liabilities insurance; the role insurance intermediaries and functions of insurers and social insurance.

6 Course Plan:

Please note that the actual topics/concepts to be covered in each head of lecture session will be provided separately.



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Module	Lecture (s)	Lecture Session	Reference Text Book	Learning outcomes
	1	Introduction to the course, Course Administration, Fundamentals of risk	Lecture Notes	Discussion of course topics, requirements, policies and procedures Concept of Risk
M 1	Introduction to Risk Management			
	2 -5	Risk and Its Treatment	Chapter 1	Explain various types of risks and risk management techniques. Distinguish between pure and speculative risk, Types of pure risk.
	6-8	Basic Concepts in Insurance and Risk	Chapter 2	Show an understanding of the fundamentals of risk management and insurance concepts - insurance instrument, requirements of an insurable risk, Identify insurable and insurable risks and major types of insurance.
	9-11	Introduction to Risk Management	Chapter 3	Explain nature and principles of risk management, objectives of risk management, steps in risk management process, and various techniques of risk management.
	12-15	Enterprise Risk Management and Related Topics Advanced Risk Management Tools	Chapter 4	Understand the enterprise risk and loss forecasting, financial analysis. Exploring and understanding the other risk management tools
	16	Problem Sheet/Assignment/Mini Case Discussion		
M 2	The Private Insurance Industry			
	17-18	Types of insurers and Marketing Systems	Chapter 5	Understand the different types of insurers and marketing aspects
	19-20	Insurance Company Operations, Analysis of insurance and contracts	Chapter 6	To be able to identify basic parts of insurance contracts; the meaning and purpose of Deductibles and Coinsurance, underwriting, claims, investments and reinsurance
	21-22	Financial Operations of Insurers Government Regulations of Insurance	Chapter 7 Chapter 8	Learn about Property and causality insurers, life insurance companies – rate making processes, government regulations
	23	Problem Sheet/Assignment/Mini Case Discussion		
M 3	Legal Principles in Risk & Insurance			
	24-25	Fundamental Legal Principles Analysis of Insurance Contracts	Chapter 9 Chapter 10	Apply the understanding of the legal principles in insurance. Examine and explain the legal aspect of insurance as a contract.
	26	Problem Sheet/Assignment/Mini Case Discussion		
M 4	Life and Health Risks			
	27-29	Life Risks and Life Insurance Life Insurance Contractual Provisions	Chapter 11 Chapter 12 & 13	Describe the features of Life Insurance choose appropriate insurance policies related to life and health insurance
	30- 32	Individual Health Insurance: Annuities and individual Retirement accounts Affordable Care Act, Individual Medical Expense Insurance ; Employee Benefits – Group Life and Health Insurance	Chapter 14 Chapter 15 Chapter 16 Chapter 17 Relevant concepts	Explain health reforms, Individual and group life and health insurance coverage plans, employee benefits



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	33	Social Insurance & Workers Compensation	Chapter 18	Insurance Aspects of old-age, survivors and disability insurance, benefits
	34	Problem Sheet/Assignment/Mini Case Discussion		
M 5	Personal Property and Liability Risks			
	35	Liability Risks	Chapter 19	Understanding the liability risks
	36	Auto Insurance	Chapter 20	Describe the features of General Insurance Choose appropriate insurance policies related to property and liabilities insurance
	37-38	Homeowners Insurance	Chapter 21 Chapter22	
M 6	Commercial Property and Liability Risks			
	39-40	Commercial Property and Liability Risks; Commercial Property Insurance; Commercial Liability Insurance	Chapter 25 & 26	Understand and choose the insurance related to commercial property and liability insurance
		CONCLUSION		

The course will be also anchored around specific issues of relevance to Indian context.

The Instructor in Charge reserves the right to change relevant topics in this document at any time. Students will be given prior notice of any changes to the schedule.

7 Evaluation Scheme:

Component	Duration	Weightage (%)	Day/Date & Time	Nature of component (Closed Book/ Open Book)
Mid Semester Test	30 min	30	05/10 AN1	Closed Book
Surprise Tests/ Home Assignments/		20		--
Class Participation/ Project Report		10	To be announced	--
Comprehensive Examination	120 min	40	03/12 FN	Partly Open Book

8 Chamber Consultation Hour: WEDNESDAY 4.00pm-5.00pm. Please email to make an appointment and provide a general idea of the topic you'd like to discuss so that I can be as prepared as possible for our appointment with you.

9 Notices: All course related information will be sent to students from course mail id.

Course mail id: nvmraoriskmanagement@gmail.com

10 Make-up Policy: Make-up exams may be given only on genuine grounds and at the discretion of the instructor. Permission to take a make-up exam will depend upon the particular circumstances. Prior permission of I/C has to be obtained to get make-up.

- Strictly, no makeup exams for quizzes/surprise class tests. Exam and quiz ground rules (additional ground rules may be announced at a later date).

11 Note:

Other Course Policy Issues:

- The instructor in charge reserves the right to make adjustments to this syllabus. Any change will be notified at least one week in advance. But it is your responsibility to stay informed if you do not attend all the classes.
- Most lectures are presented in a lecture format, organized around concepts, questions, problems, practical exercises, and mini-case situations. Lectures are designed to engage students and promote involvement in class discussion.
- Problem Sheets and Reading Assignments will be assigned periodically. They must be worked out to understand the subject. For Reading Assignments, students are expected to consult the Books, Research Articles & Papers and Reports, Company Websites as advised in the class.
- Class Participation and Attendance is important. The student's success in this class will be dependent upon their participation and the amount and quality of effort expended. Students are expected to have read basic class materials for every session and to be able to lead discussions and/or answer questions based on the readings. Students will be held responsible for material covered in class.
- Class participation will be assessed occasionally and at the instructor's discretion. Attendance may be taken randomly and small in-class assignments may be used to measure participation.
- As a courtesy to fellow students and the instructor, students are expected to be online on time.
- If there are problems of any nature that concern the class of which I am unaware of and which need to be addressed, please feel free to discuss this with me at any time. The main objective is to foster an environment where people who are interested in the subject matter have the opportunity to discuss their questions in a positive learning environment.

Instructor-in-charge: NVM RAO
Course No.: ECON F417/FIN F413